

Preference Theory and the New Welfare Economics

It is often the case that the line between the economical and the ethical is blurred when one considers the aim and effect of policy. So far, an honest and non-free market idealist depiction of the classical school of economic theory has shown that the free market can only get you so far. As is often the case, what should happen in theory can deviate from the outcome in reality. Even in the case that market projections are correct, they don't necessarily guarantee the best outcome. As Keynes pointed out in perhaps his most famous quote, it may very well be the case that markets clear in the long run and equilibrium is always returned to, yet in the long run, "we are all dead." This was effectively an argument encouraging the people and the government to view economics with a short run timeline with the presumption of maximizing welfare (however we may choose to define that). That all being said, as economics drew closer to the present day, the way economists argued previously held beliefs was amended. As the 20th century neared, a new welfare economics emerged, which was even more critical of the classical assumptions. Returning to Keynes' quote, it is important to point out that his argument still grants an unspoken benefit to the market, which is that as long as equilibrium is obtained, there shouldn't be any reason for the government to interfere. Hence, his concern is largely limited to the path economists need to take in order to reach equilibrium. However, what then happens when equilibrium is not enough?

According to P. Johansson in *An Introduction to Modern Welfare Economics*, the first theorem of welfare economics states that when certain behavioral assumptions are met the market equilibrium is the same as the Pareto optimal, or when economic policies have reached a point so that the allocation of goods can no longer be changed without someone being worse off (Johansson 1991, 10). Rather than having equilibrium be the end in itself, this interpretation accounts for the realistic tradeoffs that occur and begs the question of what we mean when we say “optimal.” To address this dilemma, economists started exploring what is called preference theory and experimented with a technique known as compensation tests in order to precisely determine the cost-benefit dynamic to redistributive policies. In this paper, I will defend the efficacy of these compensation tests by reconciling the views of economists Lionel Robbins and R.F. Harrod, whose ideas complicate the law of diminishing marginal returns.

Initially, it appears that Robbins’ suspicion toward diminishing marginal utility would be case in point to his opposition of redistributive policy. This is because the assumption people have run with was that money became less and less valuable the more affluent a person was. As a result, the law made it practically intuitive to believe that redistributive policy could maximize satisfaction among the most people, which fit into the current view of many economists of the time. For Pigou, negative externalities that risked becoming uncontrollable due to self-interest could be suppressed by implementing a conditional (what we now call a Pigouvian) tax system. For the utilitarians, it was believed that as long as the net product to some action came out positive, that is, those lower income people who evidently received from a transfer policy benefited more than the cost being paid by the higher income people who are funding that transfer policy, then there could be no objections. This logic is summarized at the start of Robbins’ fourth chapter in *An Essay on the Nature and Significance of Economic Science*, which

Robbins then dismisses as “merely specious” (Robbins 1932, 121). The reason for his skepticism can be best summarized in the way I previously described how the law of diminishing marginal utility was applied, notably, through “intuition.” For Robbins, the fact that this is possible leads him to believe that one must approach this issue with caution, because the way that the law is evoked here does not follow from any fundamental understanding of economics (Robbins, 121). In other words, there is no empirical evidence to back the idea that the law, which by itself Robbins does not disagree with, is relevant in this circumstance. Ultimately, the conclusion that Robbins attains from his example comparing the order which one individual will choose a series of an option of goods to another individual versus the actual “magnitudes” guiding these arrangements (Robbins, 122) is that it is completely arbitrary in the face of scientific economics and is best put as an “accidental deposit of the historical association of English Economics with Utilitarianism” (Robbins, 125). With that out of the way however, what does this really mean when it comes to any viable alternatives?

I must preface that the way Robbins frames his argument is less so a stance against transfer policy as a whole than it is a thought experiment that aims to accurately determine how transfer policies work. Indeed, he admits that we as a society are no less correct and no less incorrect in the ways we form valuations than another society which claims its people experience ten times as much satisfaction as we do, at least in an objective sense (Robbins, 124). The most one can do is refer to the consequences of action that are measurable in every other sense besides strictly economics, but Robbins isn’t opposed to that either. In truth, his view isn’t too far off from that of Harrod, whose admitted justification for transfer policies between the rich and the poor make it appear that he is at odds with Robbins. In “Scope and Method of Economics”, Harrod does make a point against those he calls the “zealous protagonists for the scientific

character of economics” (Harrod 1938, 390) who obfuscate between an overrated idea of the economist’s power to predict and an underrated idea that limits the economist’s role which is actually very limited. For Harrod, the counter to Robbins’ uncertainty is that at the end of the day, despite effects having difficulty being put into quantitative terms, a client will still want to know whether the present state of affairs is relatively better or worse than a previous state, and it is the responsibility of the economist to provide an answer (Harrod, 391). Working in junction with other fields, an economist might be asked by a politician or a “moral philosopher” not what measurement they are using to determine value, but how to achieve a state where society is self-sufficient. The obvious problem is that according to a scientific account on economics, there is an infinite number of possibilities to approach it. This means the economist has to use his or her own criterion or what Harrod terms at least a form of “shrewd suspicion.”

The joining of Robbins and Harrod can be found in the economic literature of Nicholas Kaldor, “Welfare Propositions of Economics and Interpersonal Comparisons of Utility”, and J.R. Hicks, “The Foundations of Welfare Economics”. Together, they establish the compensation principle, which distinguishes itself from the Pareto criterion in that it does not require the actual payment of compensation, only that it in theory is possible and can guide the use of policy. This was the analysis of P. Johansson, whose reading of Kaldor and Hicks led to a joint effort in determining the effectiveness of compensation tests. It is here that we find the crux of the argument. According to Kaldor, Robbins was not incorrect in saying that the economist was incapable of proving that as a result of a specific policy, nobody in a community was going to suffer. On the contrary, it satisfies Kaldor if the economist was capable of pointing out that despite the loss and presumed compensation (which we now take as a given), the rest of a community will still be better off as a whole (Kaldor, 550). Most significantly, whether or not

those landlords actually receive compensation is no longer a concern for the economist, which would satisfy Robbins' grievance of economists determining these things on a whim. Of course, he could posit that political questions are also scientific in nature, but the foundations of trade would still be reliably supported. Citing Pigou, Hicks reaffirms that the goal of economists is to maximize, and though the positivists draw the line at comparing satisfaction derived from wealth by various people, there remains some kind of relationship between economic and social welfare (this Robbins has no qualms with) and the even more general baseline of some quantity that we find desirable to grow (Hicks, 698).

To a final point of contention, it may appear to some that the resolution between Robbins and Harrod is simply a return to utilitarian principles, or the fact that consequentialism is the way to go. And in a sense, it is. Despite his preference for indifferent logic, Robbins was not anti-egalitarian at heart and supported many normative statements on how people treated one another. This not only falls into the general support of maximizing good, but also sheds some light on the ethical debacle that is sometimes economics.